

A PROPOSAL FOR THE SYMMETRIC CREDIT UNION

Equal Interest on Deposits and Loans — For the Deposit Is Already a Loan

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"The rich ruleth over the poor, and the borrower is servant to the lender."
— *Proverbs 22:7 (King James Version)*

Coinage, flagged under R-69: *"Symmetric interest"* is John's coinage — the doctrine that the rate a bank pays its depositors should equal the rate it charges its borrowers, on the ground that the deposit is itself a loan to the bank. The authorities cited below support the *premises*; none is claimed as prior art for the coinage. What is his is marked his.

I. THE PROPOSITION, STATED FAITHFULLY

A bank or credit union shall pay its depositors — on savings *and* on checking alike — the same rate of interest it charges its borrowers.

The moral arithmetic is simple and is the whole of the proposal:

1. When you deposit money, you lend it to the bank.
2. When the bank lends it onward, it charges interest for the use of money.
3. The price of money should not change with the direction it travels.

If the bank charges 7% for the use of money, it owes 7% for the use of *your* money. The interest balances, because the transaction is the same transaction with the chairs reversed.

This document does three things: proves premise (1) from the law books, attacks the proposal honestly with the arithmetic every banker will raise,

and then drafts the workable charter that survives the attack.

II. THE LAW: THE DEPOSIT IS A LOAN

The first premise is not rhetoric. It is black-letter law, and it has been for over a century.

Black's Law Dictionary, 2nd edition (1910) — the TRVVTH-restored text — defines the general deposit thus, verbatim:

"A general deposit (the ordinary form) is one which is to be repaid on demand, in whole or in part as called for, in any current money, not the same pieces of money deposited. In this case, **the title to the money deposited passes to the bank, which becomes debtor to the depositor for the amount.**"¹

Read that twice. **The title passes to the bank.** Your money becomes the bank's money, and the bank becomes your debtor. A debtor owes a debt. Interest is the price of a debt. When the bank pays you interest on your deposit, it is paying interest on **its loan from you** — and the only open question is the rate.

The authorities Black's cites for the proposition: **Shipman v. State Bank**, 59 Hun, 621, 13 N.Y. Supp. 475; **State v. Clark**, 4 Ind. 315; **Brahm v. Adkins**, 77 Ill. 263; **Marine Bank v. Fulton Bank**, 2 Wall. 252.²

Across the Atlantic, the foundation stone: **Foley v. Hill** (1848) — money paid into a bank ceases to be the customer's money; the banker is not a bailee or trustee of the coins but a **debtor** for the amount. The depositor is a creditor, full stop.³

And the federal statute agrees on the shape of the thing: 12 U.S.C. § 1813(l) defines "deposit" under the Federal Deposit Insurance Act as "the unpaid balance of money or its equivalent received or held by a bank" — an **unpaid balance**, the language of debt, not of safekeeping.⁴

The ledger, balanced: the depositor is the creditor; the bank is the debtor; interest on the deposit is interest on a loan. Premise (1) is proved. What remains is not law but arithmetic — and honesty demands the proposal survive that too.

III. THE ARITHMETIC: THE HONEST ATTACK

Every banker who reads Section II will nod — and then raise the arithmetic. The scribe raises it first, so the proposal cannot be accused of not knowing.

1. The spread is the business. Banks live on **net interest margin**: lend at X, pay deposits at Y, keep X–Y. For U.S. commercial banks this margin runs roughly three percent. If X equals Y, the margin is zero — and zero margin pays for nothing: not the branches, not the staff, not the servers, not the compliance department.
2. Borrowers default; depositors don't. A bank's loan book carries credit losses every year — loans that are never repaid. Those losses are currently paid out of the spread. Under literal symmetry, with no spread, every default comes directly out of the members' pockets unless some other income exists.
3. The insurer must be paid. FDIC deposit-insurance premiums are assessed on the bank. The premiums are real money, due regardless of the rate sheet.
4. "Equal" needs a definition. A 30-year mortgage and a demand checking balance are not the same loan. One locks money up for decades; the other can leave at noon. One carries default risk; the other carries none. The same **nominal** rate on both ignores term premium and credit risk — the two oldest prices in finance. The proposal must say what "equal" means, or the word does no work.
5. Checking at loan rates is the radical plank. Savings earning 7% is a revolution; **checking** earning 7% — money that moves daily — would draw every hot dollar in the country to the door. The institution must be built to survive its own success: deposit volatility becomes the central risk.

The scribe's ruling: the proposal as a bare slogan — "same number on both sides" — does not fund itself. Stated plainly: **a zero-spread bank with no other income is insolvent by construction.** The proposal therefore must answer the funding question, or it is a wish. Section V is that answer. The coinage survives; the slogan grows teeth.

IV. THE WORKABLE FORMS: WHAT ALREADY EXISTS

The proposal does not ask the world to invent anything. Its parts already walk the earth:

1. The credit union patronage. Federal credit unions are member-owned, not-for-profit cooperatives. Many already return net income to members as **bonus dividends** and **interest rebates** — the members get the spread back at year-end. The machinery of returning the margin to the people who funded it exists and is ordinary.⁵ The proposal makes it the **charter** rather than the year-end surprise.
2. The Swedish heresy. JAK Members Bank of Sweden has operated an interest-free model for decades: members earn "savings points" by saving and spend them to borrow without interest. Reported here as proof that a rate structure can be rebuilt from first principles and still stand — the details are theirs, the lesson is everyone's.⁶
3. The public bank. The Bank of North Dakota, state-owned since 1919, returns its profits to the people of the state rather than to private shareholders. It demonstrates the other half of the lesson: **the spread can be socialized.** Who gets the margin is a choice, not a law of nature.⁷
4. The published spread. A minority of institutions publish their margin outright. Transparency is not a business model by itself, but it is the doctrine without which no symmetric institution can be trusted: the members must see the number to know it is zero.

V. THE PROPOSAL PROPER: DRAFT CHARTER OF THE SYMMETRIC CREDIT UNION

Working name — the author's red pen rules. What follows is a charter sketch: the load-bearing walls, not the finished building.

Article 1 — Ownership. Every depositor is a member-owner. One member, one vote. There are no outside shareholders, because an outside shareholder is a mouth the spread must feed — and the spread is abolished.

Article 2 — The Symmetry Rule. The **base rate** paid on all deposit

accounts — savings and checking alike, no second-class money — shall equal the *base rate* charged on all loans. "Equal" is hereby defined, answering Section III(4): parity holds on the base rate; adjustments for *term* and *documented credit risk* are permitted only if each adjustment is published, formula-driven, capped in the bylaws, and identical for every member in the same class. No quiet repricing. No "because we can" tiers.

Article 3 — The Funding Answer. Operating costs — staff, premises, systems, compliance, and the FDIC premiums of Section III(3) — are funded by explicit annual membership dues, published to the dollar. The hidden spread is replaced by an honest price, stated up front, voted on by the members who pay it. No fee ambushes; no overdraft theater; the dues are the whole of the non-interest income, and the ledger is open.

Article 4 — The Patronage Dividend. Any residual net income — from dues surplus, from the permitted risk adjustments, from any source — is distributed to members pro rata as a patronage dividend. This is the mechanism by which *effective* symmetry converges on *nominal* symmetry: whatever the institution keeps beyond its honest costs comes back to the people whose money it was.

Article 5 — Transparency. The full rate sheet, the dues ledger, the risk-adjustment formulas, and the dividend math are published quarterly, in plain language, to every member. An institution that hides its numbers cannot claim their balance.

Article 6 — The Checking Plank. Checking accounts earn the base rate in full. This is the revolutionary article and is not negotiable within this charter — but the charter answers Section III(5) honestly: the institution shall hold liquidity buffers sized for hot-money volatility, and the buffers' cost is carried in the dues, where everyone can see it.

VI. QUESTIONS FOR THE RED PEN

The scribe does not rule; the author does. Held open for John's pen:

1. Full nominal symmetry, or base-rate parity? Article 2 permits published risk/term adjustments. Strike them, and the charter demands one number for the 30-year mortgage and the checking account alike —

purser, and harder to fund.

2. Dues-funded, or dividend-only? Article 3 funds operations with dues.

The alternative: no dues, operations funded solely from the permitted adjustments, dividends doing the rest. Cleaner — but thinner armor.

3. The name. "The Symmetric Credit Union" is a working title. The institution's true name is the author's to give.

4. Charter jurisdiction. Federal credit union charter (NCUA) is the natural vehicle — member-owned, not-for-profit, existing law.⁵ State charter is the alternative. The lawyers' lane, when it comes.

FOOTNOTES

¹ Black's Law Dictionary, 2nd ed. (1910), definition of "Deposit" (general deposit) — quoted verbatim from the TRVVTH-restored source text.

² *Shipman v. State Bank*, 59 Hun 621, 13 N.Y.S. 475; *State v. Clark*, 4 Ind. 315; *Brahm v. Adkins*, 77 Ill. 263; *Marine Bank v. Fulton Bank*, 2 Wall. 252, 17 L. Ed. 785 — as cited in Black's 2d.

³ *Foley v. Hill*, 2 H.L.C. 28 (1848) — the debtor-creditor nature of the banker-customer relationship as to money deposited.

⁴ 12 U.S.C. § 1813(l) — "deposit" defined under the Federal Deposit Insurance Act.

⁵ Federal credit unions: member-owned, not-for-profit cooperatives; bonus dividends and interest rebates are established industry practice. Chartering authority: National Credit Union Administration.

⁶ JAK Members Bank (Sweden) — interest-free, savings-points model; reported as an existing alternative rate structure.

⁷ Bank of North Dakota — state-owned bank, profits accruing to the state; demonstrates the socialization of the banking margin.

Nothing in this proposal is legal advice. It is a charter sketch — the author's coinage, the scribe's assembly — awaiting the author's red pen and, in time, licensed counsel's review before anything touches real money or a real charter application.

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